

2. The role of markets and money

Topic	Learners should be able to
2.1 The role of markets	• explain what is meant by a market • explain the features of the primary, secondary and tertiary sectors, including the difference between the production of goods and services • explain the difference between factor and product markets, including their interdependence • evaluate the costs and benefits of specialisation and exchange in markets including for producers, workers, regions and countries
2.2 Demand	• explain what is meant by demand • draw and explain a demand curve using data, including individual and market demand • draw shifts of, and movements along, the demand curve • analyse the causes and consequences for consumers and producers, of shifts of, and movements along, the demand curve • explain price elasticity of demand • draw demand curves of different elasticity • evaluate the importance of price elasticity of demand for consumers and producers
2.3 Supply	• explain what is meant by supply • draw and explain a supply curve using data, including individual and market supply • draw shifts of, and movements along, the supply curve • analyse the causes and consequences for consumers and producers, of shifts of, and movements along, the supply curve • explain price elasticity of supply • draw supply curves of different elasticity • evaluate the importance of price elasticity of supply for consumers and producers
2.4 Price	• explain price as a reflection of worth and its role in determining an efficient distribution of resources • explain what is meant by equilibrium price and quantity • draw and analyse the interaction of demand and supply • explain the role of markets in the determination of price and the allocation of resources • analyse how the market forces of demand and supply affect equilibrium price and quantity

<i>Topic</i>	<i>Learners should be able to</i>
2.5 Competition	• explain competition between producers in a market economy, including the reasons why producers compete • analyse how competition affects price • evaluate the economic impact of competition on producers and consumers • explain the meaning of monopoly and oligopoly and how they differ from competitive markets
2.6 Production	• explain the role of producers, including individuals, firms and the government • evaluate the importance of production and productivity for the economy • calculate and explain total cost, average cost, total revenue, average revenue, profit and loss • evaluate the importance of cost, revenue, profit and loss for producers, including how costs and revenues affect profit and supply • explain what is meant by economies of scale
2.7 The labour market	• explain the role and operation of the labour market, including the interaction between workers and employers • analyse the determination of wages through supply and demand, including factors affecting the supply and demand of labour • explain and calculate gross and net pay, including deductions through income tax, national insurance and pension contributions
2.8 The role of money and financial markets	• explain the role of money as a medium of exchange • explain the role of the financial sector for the economy, including financial institutions such as banks, building societies and insurance companies • evaluate the importance of the financial sector for consumers, producers and government • analyse how different interest rates affect the levels of saving, borrowing and investment • calculate the effect on savings and borrowings of changes in the rate of interest.